

RIVER PARK EASEMENT AGREEMENTMOTION AND VOTE

Lincoln moved to accept the River Park Easement Agreement as presented with a change to read that "the Town Attorney change the language in Section 4A to include that the 15% commercial use could be a use permitted on review. A discussion ensued relative to the improvements on the River Park portion to be provided by Simonios Vischer and Company. Ron Allred indicated that if the Town consummated its agreement with the Swiss, Telco would agree to improve that portion of the River Park also. Additionally, Allred indicated that such commitment would be part of the Contract for Backman Village Subdivision.

Second by Bedford.

The vote was taken.

Aye votes cast by Bedford, Hobbs, Lincoln, Race, and White.

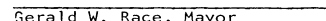
Abstaining vote cast by Stevens.

The motion passed unanimously.

Respectfully submitted,

ATTEST:


Caroly Shaw
Town Clerk


Gerald W. Race, Mayor

SPECIAL MEETING OF THE TOWN COUNCIL OF THE TOWN OF TELLURIDE, COLORADO, HELD
JUNE 28, 1979 IN THE SAN MIGUEL COUNTY COURTROOM

MEMBERS PRESENT: MAYOR RACE and Councilmembers Bedford, Hobbs, Lincoln, Stevens, White, and Wright.

THE MEETING WAS CALLED TO ORDER AT 7:40 p.m.

BACKMAN VILLAGE SUBDIVISION AND ANNEXATION APPROVAL

Mayor Race noted that this formal meeting was a continuation of two previous Council meetings held by the Council on June 26th and 27th regarding all aspects of the Backman Village Subdivision as well as their request for annexation to the Town. He noted that material reviewed and approved to date included the Public Improvements Agreement, and the River Park Easement. Additionally, aspects of the contract for the subdivision were reviewed. He noted that Council would continue with their review of all appropriate documents at this meeting.

Joe Crain, Town Planner, then reviewed the proposed Lift Agreement. Noting that this was the first time the Council had considered this Agreement, he pointed out that it insured that the lift would be in Town and that lift tickets would also be sold in Town. He then read the Agreement in full.

Randy King, Town Manager, then voiced some concerns by staff following review of this document. He questioned the difference between "Telco" and the "Ski Corporation" as to their legal status and the totality of each of their commitments in the Agreement.

Bob Korn, representing the Telluride Company, replied that certain activities of the mountain were owned and operated by the Telluride Company and others by the Telluride Ski Area, Inc. He noted that by having both signatories on this Agreement, the Town included everybody. He added that specific ski operations such as the lifts and ski trails were under the purview of the Ski Corporation but that also the Telluride Company was the owner of record of the Backman Village area and would probably be the owner of record of the base facility, so it had been their feeling that both companies should be signatories to this contract.

King questioned if the Telluride Company was the same as the ski corporation. Korn said they were two separate corporations with separate officers and separate responsibilities. King questioned if Korn would have any objection to a clause about either corporation as signees being committed to performance of this document. Korn replied that he did not.

Crain questioned if the Dakota Placer land to be annexed was adjacent to Forest Service property. Ron Allred, President of the Telluride Company, replied that it was all adjacent to Forest Service land except for one mining claim owned by Idarado Mining Company.

Korn then reviewed the boundaries of the Dakota Placer and noted that this Agreement included language binding the successors and assigns to the provisions of this Agreement as well.

King then requested that Telco consider adding language providing for summer pedestrian access to the portion of the agreement referring to perpetual skier access.

Allred replied that he was not in favor of having campers within the ski area due to the potential for fires.

Korn added that in winter, the Company had a ski patrol, lift operators and certain liabilities as a result of providing access, but in the summer their insurer might not want the liability from people wandering around up there without proper personnel supervising.

Hobbs commented that people were up on the mountain all summer long whether Telco knew about it or not. Allred clarified that these people were not sanctioned by the Company.

Stevens clarified that pedestrian walking access to forest service lands was permissible, but not camping.

Sammy Evans worried that this would encourage further jeeping up through the ski area.

Allred didn't feel this language was needed because, as Stevens had indicated, this was already part of their Forest Service permit.

King felt the Town's intent was to insure hiking especially up around Camel's Garden area; to insure Telco did not block off the Camel's Garden road or area.

No decision on this was forthcoming.

Crain noted that the Dakota Placer currently ended where the Town limits were so he suggested a change in the language under 2(e) to say "from the Dakota Placer through the base facility to Pacific Avenue". All were agreeable.

King requested under 2(b) that the language be changed to read that "Telco agrees to request that it be zoned open space" since the Town Attorney had legal concerns about the Town making an agreement to prezone property. Korn agreed to this language modifications.

Concerning the last section of the Agreement, King said he had some general discomfort about giving up any potential future regulations that the Town might decide were necessary in that area. He felt the language "such related ski area uses that Telco and the Ski Area deem proper" was too broad for the future in terms of concerns that might come up in the community.

Korn clarified that the language meant that the activities on the Dakota Placer that were in regard to skiing and covered by current state laws would be handled by them as they wanted to annex their land into the Town but didn't want to create another bureaucratic department within the Town which would have to learn about lifts and trails. He noted that there was nothing that Telco was going to do on that piece of property other than ski trails.

Bedford cited as an example there could be a ski area shed or maintenance area which he felt the Town would want control over. He felt that there were many things involved with the ski area that Telco might feel were proper but that others were against, so he too felt the language should be changed.

Allred noted that when they were approached by Staff about annexing the Dakota Placer, they had agreed to this on one condition which was that Telco would not be subject to another governmental body as far as jurisdiction of trails, lifts, and the general ski operation. He said it was his understanding that the Town Staff had agreed to this, and he was very surprised at this suggestion at such a late date.

Korn added that Telco was still regulated by the Town's current zoning ordinances.

King reminded Allred that the speed in which these documents were reviewed made it necessary for staff to take time today and finally review them. He stressed that the Town did not want to review lifts or collect building permit fees on lifts as he did feel that was part of the agreement being made with Telco. However, he said he was still bothered by the "open-endedness" of the clause in question, and that the community might want the government to be involved with impact reviews, etc.

Korn reminded King that even with work "they deemed appropriate" the Company still had to go to the Forest Service, so they felt another layer of government would be onerous to their operation. He stressed that the Company would abide by the Town's open space designation of this land.

Bedford suggested that the language be changed to read, "as Telco and the Ski Area deem proper with subsequent Forest Service or other governmental approval".

Lincoln further changed the language to read, "as Telco, the Ski Area, and the Forest Service deem proper".

This was acceptable to Korn.

Race then opened the discussion to the public.

Alan Gerstle wanted the Town to consider a clause in the Agreement guaranteeing season passes as long as the area was in operation so as to prevent the situation in Aspen where the local skier could not get a season pass and could not afford to ski paying a daily rate on a regular basis. He then presented language to the Council which read, "Telco agrees that as long as the ski area is actively in operation, Telco should make available two types of unlimited full season ski passes - an adult pass and a child's pass which would be available to residents of Telluride. The adult pass shall be at a price no higher than 20 times the lowest daily adult ski ticket, the child's pass no higher than 10 times the lowest daily children's ski ticket. The passes must be sold for at least two weeks during the month of November prior to the ski season during the normal business hours within the Town limits of Telluride with no limit as to number. The times of sales must be announced at least two weeks in advance and published in the paper of record in the Town of Telluride."

Allred emphatically said "no". He said they would operate their own business in the way they felt was best for them. He didn't think government should try to get involved with something like this as it was way out of government's bounds. He felt if the Town regulated the ski area, they should do the same thing to every other business in Town.

Sammy Evans reminded the Council that Allred had already established a successful youth ski program where the children were issued free season passes.

John Mansfield said that the intent of this language was to try to avoid the same problems that occurred in Aspen and to guarantee that the character of the Town was not changed due to the types of people living here.

Jim Noening, of the Telluride Company, said he didn't think the Forest Service allowed this. He said any price given to an adult in Telluride had to be given to a person from New York or Chicago.

Rick Silverman felt this could be easily remedied. He said all they wanted was that anyone, whether a local or out of town skier, had continued access to the mountain. He didn't see why the Company should have any problem continuing to use the same formula used this year for the computation of ski passes.

Bedford felt that from a businessman's point of view, one of the real benefits of having a reasonably priced ski pass was that they could attract employees.

Korn explained that the pricing of season passes was regulated by the Forest Service so this meant that Telco could not set its own formula and that they were also subject to the President's guidelines for inflation.

Lincoln didn't see that this literally applied because he noted that the Forest Service approved season passes at a rate not commensurate with the daily lift ticket price.

Silverman stressed that they were not taking issue with Telco and the Forest Service being allowed to determine a fair rate for a ski ticket. He said they were saying that the formula that was presently instituted for a season pass should be sustained annually. He stressed that they wanted to be sure that the season pass stayed fixed to the formula presented.

Mansfield noted that the reason the Forest Service dealt with the ski prices was because many of the ski areas were on leased Forest Service land. He said he understood that the Forest Service could act with similar jurisdiction as the PUC and was charged with protecting the public as to ski areas using public land and to guarantee that the ski area was not ripping people off. He didn't want to see the pricing structure changed so much that the final pass really did not even resemble the former pass at all. He didn't think Telco would have any problem getting through the Forest Service a reasonable pass.

Allred replied that the ski area was limited to a 9% increase by federal guidelines.

Race agreed that he had trouble conceptually approving government regulation of prices but he did not see why it could not be stated that there would always be a season ski pass.

Bedford suggested language to read, "Telco agrees that unlimited adult season ski passes shall be sold within the Town of Telluride to all comers. Season passes shall be sold for at least 30 days before and after the ski area opens. Telco shall notify the public of any requests to the Forest Service for season price increases via public notice in the local newspaper at the time such a request is made".

Silverman felt this proposal did not speak to what was being seen elsewhere. He said there could be a season pass which in no way resembled the current season pass like in Aspen. He said the locals needed to have some type of pass tied to a fixed equation of the day rate charge. He said he was absolutely certain that the Forest Service would have no trouble with this type of policy because this would insure public access to this public land.

Allred said he would accept Bedford's language.

Lincoln then questioned if Allred would have trouble keeping a season lift ticket and a daily ticket on a one to one basis.

Noening replied that the reason the problem occurred at Aspen Mountain was because it was a popular place to ski and they were so overcrowded that no tourists could get on the mountain. He felt that if the ski area expansion occurred as indicated there would be enough room for everyone to ski. He did not foresee any reason for this to be necessary unless some type of controls did not allow the area to expand.

Bedford felt two major fears: (1) excessive \$20,000. unaffordable ski passes, if planning assumed local skiers on mountain. Ski passes priced too high for locals skiers on mountain; (2) Master planning for mountain would exclude local skiers.

Gerstle asked Telco if they would agree to retain the format as noted that any rate increase would be computed using this same formula.

Allred said this was very difficult for him because he felt the more government tried to tie on to this, the greater increase in costs.

Korn added that this agreement was an additional guarantee and benefit to the Town and he thought Telco had gone as far as they could reasonably be expected to go and further than any other ski area in the United States.

Michael Conlin commented that he basically agreed with Allred's concern about governmental intervention. He didn't want to restrict Allred in terms of what he charged but merely wanted to see some assurance that there would be a season pass available to locals.

Silverman stressed that he didn't want to restrict the price of the ticket in collaboration with the forest service. He noted that he had attended the forest service hearings in Aspen when this issue was finally brought out on the table, and at that time it was shown that the forest service did not concern itself with the pricing of a season pass but only with day pricing.

Bob Chamberlain commented that there were also negative experiences involved with having a season pass. He said that last legitimate season pass in Aspen cost \$1800., and added that on the other side of the coin, Squar Valley had 5000 season pass holders who all seemed to show up on the same day after a big snow. He didn't feel either of these two cases showed that a season pass had anything to do with "good skiing". In Aspen he noted that the mountain had become totally unskiable because there was no way to get on the mountain due to the number of people and he added that the quality of the skier was also very bad. He felt the process had worked in Aspen and that the quality of skiing had improved in the last two to three years. He felt this idea of a season pass for Telluride might entirely backfire in the next ten years.

Gary Hickcox felt that what was underlying this whole discussion was a basic distrust of the Telluride Company. He noted that since he had become the new Recreation Director he had experienced incredible cooperation from Telco in trying to do things for people in Town, and he did not think Telco's actions were self-serving.

Bedford asked Allred if there was anything he could say to show the people that there would not be an exorbitant season pass.

Allred replied that if inflation went up to 10% next year, they would be asking for a 10% increase so that they could give their employees the raises they were due and to also buy the equipment they needed to maintain the mountain.

Bedford still questioned why Telco could not tie together the season pass prices with the increment increase for the daily ticket price.

Allred answered that the daily ticket prices increased on the basis of \$1.00 increments usually which he noted was not always the same percentage increase as for a season pass.

Noening said the real problem was projecting into the future as any businesses had to maintain their options to be able to make business judgements as to what was best for their company. He said they simply had no idea what would happen in the future. He stressed that it was impossible to predict the future nor could you be restrictive because this was what a private company was about and what management was about and that a company had to decide things as they went along.

Stevens noted that you could not discriminate between a "local pass skier" and a "daily-tourist skier" so he didn't see how you could determine who had the right to go on the mountain. He felt this could become a problem for Telluride 20 years in the future similar to the problems Aspen faced right now.

Bedford stressed that one of the biggest benefits a local businessman could offer his employees was a reasonably priced ski pass. He wanted a method developed to guarantee that reasonably priced pass could be kept in Telluride.

Stevens still questioned who would be able to get a pass in 20 years when skiers were being limited on the mountain. He felt this was a trend of the future in skiing, even though 5 years ago this idea seemed absurd.

MOTION AND VOTE

Bedford moved that the following language be added to the agreement: "Telco agrees that unlimited adult season ski passes shall always be sold within the Town of Telluride to all comers. Season passes shall be sold for at least 30 days before and after the ski area opens in the fall. Telco shall notify the public via public notice in the local newspaper of any request to the Forest Service for season pass price increases at the time such a request is made to the Forest Service".

Town Attorney Unruh clarified that it was his understanding and from reading the forest service permit that the forest service did not control or say one thing about season ticket prices.

Noening clarified that every type of ticket was reviewed.

Lincoln still wanted to include language that the season pass would increase on a 1 to 1 basis percentage wise with the daily ticket price increase for a 10 year period. He felt Bedford's motion should address the long range but he also wanted assurance for the coming 10 year period.

Allred commented that now the Town was asking the Company to limit their income and yet he said their expenses were going to escalate with inflation.

Lincoln felt this didn't matter because if the Company was going to ask the forest service for a 12% increase on the daily ticket, there would be a 12% increase on the season pass as well.

Allred stressed again that he didn't feel governmental intervention in his business was appropriate.

Lincoln replied that he was the last person who wanted to see government involved in business, but he noted that there was only one ski area in Town, and that the government did not want to get involved in Allred's price setting policies but did want to assure a reasonably priced season pass to guarantee that Telluride remained a Town and not just a tourist center.

Bedford commented that he felt the Town had every right to moreso the responsibility to get involved and get as much possible for the Town out of this Agreement. He noted that Telco was asking the Town to meet their deadline for annexation and to create perhaps the largest change that the Town has seen, for good or worse, since the ski area came here, because there was no doubt in his mind that this was going to affect the Town more than the closing of the mine and cause a great impact on services. He felt it was the Council's responsibility to listen to their citizens and try to get the best deal for the Town, because the Town would lose its advantage once this Agreement was signed. He then asked Allred if Telco would be willing to lock into this ratio for the next 10 years.

Allred said he would not.

Bedford then requested an executive session to explore other alternatives.

-10 minute recess-

MOTION AND VOTE

Bedford moved that the Council accept this Agreement with the following changes: Section 1(e) be changed to read, "Telco agrees as long as the ski area is actually in operation that there shall be a public skier and pedestrian access through the Dakota Placer and thence to the West Pacific right-of-way through the base facility". In Section 2(b) that, "Telco shall request that such land be annexed open space" and "and other such related ski area uses that Telco, the Ski Area and Forest Service deem proper". That a new number 3 be added to read, "Telco agreed that unlimited adult season ski passes shall always be sold within the Town of Telluride to all comers. Season passes shall be sold at least 30 days before and after the ski area opens in the Fall. There shall be a ski season pass and that for five years the season ticket shall increase in a rate no more than the future percentage rate of increase of a day ticket. If there is no increase in the standard daily adult pass rate then the unlimited adult season ski pass shall increase no more than the consumer price index increase. Telco shall notify the public via public notice in the local newspaper and on the radio of any request to the Forest Service for a season ticket price increase at the time such a request is made to the Forest Service". Second by Lincoln.

Bedford asked the Town Attorney how binding this Agreement would be.

Unruh replied that this Agreement would have to be signed by the parties as well as the annexation contract before the Council could pass the annexation ordinance. He noted that if the Town passed an unconditional annexation ordinance without the rest of the contracts being executed, then none of the other conditions would have to be met.

MOTION AND VOTE (continued)

Bedford amended his motion to state that this Agreement would be signed before the Council took a final vote on the Annexation.
Second by Lincoln.

The vote was taken.
Aye votes cast by Bedford, Lincoln, Race, and White.
Nay votes cast by Hobbs and Wright.
Abstaining vote cast by Stevens.
The motion passed 4-2-1.

TECHNICAL CHANGES IN COVENANTS FOR SUBDIVISION

Crain explained that this document was associated with the subdivision, and that this was a series of normal protective covenants that was submitted by the developer that would bind persons purchasing property in Backman Village. He noted that there were some language changes necessary which were found by the Chairman of the Planning and Zoning Commission in his review of this document that had already been approved by P&Z but were not included in the Agreement. He then described these changes to the Council (copy on file at Town Hall).

MOTION AND VOTE

Bedford moved that the Council accept the Declaration of Protective Covenants, Conditions and Restrictions with the changes read by Crain.

Crain then asked Telco's attorney if the covenants could be changed unilaterally by Telco.

Korn replied that this was not possible.

Butch Williams asked Korn if he was Telco's attorney.

Korn replied that he was an attorney but noted that the Counsel for Telco was Peter Ricciardelli.

Riciardelli said that Telco could not unilaterally change these covenants.

Crain questioned if when the land was sold it would take 100% of the property owners to change these covenants.

Race announced a 10 minute recess to wait for the Town Attorney to return to ask him this legal question.

-10 minute recess-

Unruh replied that Telco could not unilaterally change these covenants as the covenants went with the land and not the owner.

White then seconded Bedford's motion.

The vote was taken.
Aye votes cast by Bedford, Hobbs, Lincoln, Race, White, and Wright.
Abstaining vote cast by Stevens.
The motion passed 6-0-1.

PUBLIC DISCUSSION

Race then opened the meeting to the public for them to comment on the entire annexation question and the proposed agreements before this went to a vote by Council.

Jack Thompson reminded the Council and the public that back in 1972, Telco, represented by Joe Zoline, came to Telluride and made many promises about what they planned to do for the ski area and the Town, such as parking lot and employee housing. He noted that later in the same year he purchased a Telluride Lodge condominium. He noted that now the Telluride Lodge did not even have a parking lot and furthermore that this lodge had been condemned by the Town. He could not understand why the Town would want to enter into more problems with the Telluride Company.

Race replied that he felt the Telluride Company was now owned by someone else and not Joe Zoline. He said he had seen documents that showed that Ron Allred owned the Telluride Company. He felt that these new people had shown good faith to the community and he felt the lodgeowners would see resolution of their law suits within a short time.

Thompson argued that when Allred came to Town he had said that he did in fact inherit Telco's corporate liability for the Company's previous actions and he had wanted to make a fair settlement with the lodge. He said this was all the Lodge Homeowners were requesting and he didn't see why the Town could not make them clean up one problem before possibly creating a second problem. He stressed that he was not asking the Town to make Telco settle the suit because he did not think this could be done legally. He said he did want the Town to make Telco show some good faith to get this matter worked out.

Michael Dowling, Attorney for the Telluride Lodge Homeowners Association, again reiterated the concern had had expressed the past two days in regards to the Telluride Lodge easement. He referred the Council to page 4 of the contract, paragraph 3. He noted that the Telluride Lodge was granted an easement by the Telluride Company and this easement became part of the condominium plat. He said this easement was still in effect as it was a perpetual easement which he said by State law was part of the condominium project. He felt this contract allowed Telco to deed this easement to the Town if certain obligations were met. He noted that from his discussions with the Town Attorney, a clause had been added which said, "the Town and Telco recognize the non-exclusive right-of-way granted to the Telluride Lodge Association as recorded in Book 368, pages 621-624 in the County Courthouse". He suggested that language be added to read that Telco has the rights and powers to control measures which in the discretion of Telco and with the approval of the Town may be necessary from time to time to insure the safe and efficient operation of the area but in no way shall affect the easement of the Telluride Lodge Association". He felt this language was only consistent and fair and he said he believed that the Town could not legally take away that easement by granting Telco rights and powers.

Unruh said he personally felt the statement that the Town and Telco recognize the easement was getting over one hurdle, but the phrase that said Telco's rights and powers might be implemented by the Town granting Telco the right, said that the Town did, in granting that right, interfere with this easement so if action were taken it could be viewed as a condemnation and the Town would be subject to court action or required to pay for the use. He did note, however that the paragraph did say that the Town recognized the easement.

Dowling said he felt the thrust of the contract indicated that the easement would be affected because vehicular access would be denied to the Homeowner's Association.

Unruh commented that if vehicular access was denied, this was a condemnation. He noted that the contract included language that someday this might not be a vehicular access. If that occurred, Unruh said the Lodge had a "takeover", and that the Town was the only one as sovereign who could do this take over.

Crain said, as he read the contract, that anytime Telco wanted to do anything on West Pacific, they had to come to the Town and request this permission because they did not have an automatic right to do anything on that road without government permission. He also noted that one of the reasons for this was to try to keep congestion down on that road that possibly might be involve vehicular transportation as well as the possibility of train or pedestrian use. He said it was never the intent of staff to stop vehicular traffic through that area even if a train went through because there would still be vehicular access. He said the major reason for this language was to assure that this area would not get as congested because he noted how even now during the ski season you could barely walk through the area because there were cars parked everywhere. He said the Town had discussed this problem and would probably implement a "no parking" sign on both sides of West Pacific so that this area could be kept free and clear of all side parking.

Bedford suggested that it might be better to put the onus on Telco saying that "if in the discretion of Telco they ask the Town for anything that would abrogate the non-exclusive right-of-way granted to the Telluride Lodge that Telco shall compensate the Telluride Lodge for that taking".

This was not acceptable language to Dowling.

Dr. Butch Williams said he could not believe that the Town was going to condemn the Lodge's easement when the Town had already taken away almost every leverage they had against Telco to get some restitution for the Lodge. He didn't feel there was any question that the Lodge would be glad to deed to the Town any part of that easement that was necessary for roads, but he said there was also no question that the Lodge would fight the Town to preserve this easement.

Frank Robinson, Attorney for Davis, Graham & Stubbs, representing Simonius-Vischer, commented that there was nothing a subdivision plat could do to affect a taking of an easement as this could only be done through a condemnation action before a court, because whatever rights existed by way of the prior easement could not be affected by the approval or recordation of a subdivision plat. He noted that in the original easement granted by Telco, it stated specifically that the easement might only be exercised in accordance with such reasonable regulations as may be prescribed by Telco and its assigns, for the safe and proper conduct of traffic and parking by Telco. He said this was clearly in the nature of a non-exclusive easement, and then, only subject to formal and reasonable regulation. He felt this contract did not add anything to this easement agreement in terms of the rights of the Telluride Company.

Allred said it was not their intent to eliminate the Lodge's non-exclusive easement but they wanted to control the access and area involved to be able to operate the ski area in an orderly fashion.

Dowling then asked if there would be any objection making Telco's rights and powers under the proposed contract subject to that easement.

Allred said he did not have any personal objections to what Dowling suggested. Since there was no objection to Dowling's proposed language, this language was then added to the contract.

Riciardelli noted to the Council that this might be binding the Town's hands to actually purchase this easement. He felt this easement was rather useless as far as the Lodge was concerned.

Bedford questioned if traffic were limited in this area and there was a train system running through the area whether it was conceivable that a group of people could have access to the area Dowling referred to.

Jim Burleigh, referring to a letter from Dr. Hunter, representing the Homeowner's Association to himself, noted that the letter had said, "regarding the question of vacating our easement along the new extension of West Pacific Avenue, we consider that it is not a part of the above proposal which concerns the other property agreements. We do, however, give you our assurance that we will in good faith discuss this matter with the Town at such time as the matter of out-of-town parking and public transportation has been resolved and after we have had sufficient experience with traffic patterns which will result in a proposed subdivision, to make proper evaluation". He felt this was saying not to give Telco the power to effect the Lodge's easement because they wanted to deal with the Town. He said he didn't think that this was legal since this easement was recorded as part of the condominium map and would be affecting a real property interest. He said you could not do this without condemnation and that you could not give the easement to a third party.

Race then clarified that Dowling would be happy with the language change as proposed for the contract.

Dowling said he was.

Jack Thompson wanted the Council to remember who prepared this document in terms of the number of attorneys involved with Telco's interest. He wanted to see this document sit for days in the open to let the Town inspect these documents. He didn't feel that the documents submitted were in anyway in the best interest of the Town.

Walter McClennan referring to the contract said this was one of the more amazing self-serving documents that he had seen in his ten years in the real estate business. He said he could not imagine the Town being responsible for hiring an architect and planner to negotiate with three lawyers and two accountants through 150 hours of closed door sessions and then bring the results to a bunch of well intended Town Councilmen to "machine gun" it right through. He noted that his own attorney had offered, at the cost of approximately \$50,000., to review this document and cost it out for the Town. He said it would take three attorneys about a month to say exactly what the Town was being asked to agree to tonight.

Thompson reiterated his concern about the haste of this matter and stressed again that this annexation contract did not have to be passed tonight.

A Mr. Dix, representing Walter McClennan as his attorney, commented that McClennan's description of his review of the documents was his analysis of what he felt would be required to adequately review all the proposed instruments. He felt there was a fairly substantial list of things he felt were missing from the documents that the Council might want to consider. He noted that the contract essentially required the Town to do a lot on the front end, and that the series of obligations coming back from Telco did not have to be exercised at any definite point of time in the future, nor were they really totally secure. Regarding the question of security, he noted that there was a security provided in regards to the provision of utilities, but in no respects could he see that the rest of the obligations of Telco were secured. He felt the Council should be absolutely certain that these things could and would be performed, which he felt led to the question of the financial responsibility of Telco. He felt the Council had to satisfy themselves as to the financial responsibilities of Telco because there were no financial statements attached to the contract, nor any independent investigation of financial resources had been made. He felt this was a very germane inquiry for the Town to make based on the past performance record of the Telluride Company. He felt that if the Town had a little more time and a little more input that a great deal more definiteness could be given to these agreements. In talking with his client, Dix felt the Town had to consider what would be the financial effects of this contract on the Town, i.e., what this did to the Town's bonding capacity, capability to function, etc. because the Town was allowing a substantial amount of high density to be developed at a certain place. He thought the Town and the people in this Town had the right to inquire as to whether this was the right thing and right for this point in time. He felt the Town was bargaining away their rights and input on this in this contract for ever and ever. He acknowledged that his client was interested in developing property that he owned next to this property, and he felt that a review of this document on a 24 or 48 hour basis was not sufficient legal review. He also encouraged the Council to assure that Telco, under this agreement, continued to comply with the obligations of the forest service permit as a continuing condition of Telco's rights under this contract. He noted that Telco was already under obligation to provide 3000 car parking lot by their permit and this had never been completed. He felt further review of these agreements by interested third parties would result in a much better document for the Town. He understood the hurry of this matter but he felt Telco's potential loss of a net operating or capital loss carryover was not the Town's deadline. Though he acknowledged that this would cost Telco some tax money to defer action on this, he felt the Town was playing with obligations and rights and changing property values, etc. that would have an impact in the millions of dollars. He felt the Town had to give this their very careful consideration and give others time for their input who might also be affected.

McClennan reiterated that the obligations in this contract had never been costed out by anyone and he felt they were very substantial on behalf of both the Town and Telco. He didn't think anyone attending this meeting knew what the substantial costs were that the Town was in fact going to vote on tonight. He did not think a document like this which would affect the entire life blood of this Town for the rest of its future should be passed under somebody else's arbitrary deadline. He noted that the Council had not even discussed or considered him as an adjacent property owner, who, if this agreement passed, would be obligated to pay for half of Mahoney Drive. He expressed amazement that Allred said he had never seen the plans for the Telluride Lodge and that he agreed to hold Zoline harmless in any Telluride Lodge legal action. He wondered what guarantees there were on this entire contract if Telco sold off all their property. He reminded the Council that everything Telco said they were ever going to do for the past eight years they had never done. He said he wanted to see a balance sheet on these men because he noted that if they planned to do industrial revenue bond financing they would have to have an audited statement. He added that Telco's obtaining industrial revenue bond financing for employee housing was impossible because there was no public interest, and only the private interest. He said he wanted to see every member of this contract and the officers of the Telluride Company for the past five years sign this agreement personally. He felt the idea of passing this contract and handing over the future of Telluride all in 24 hours was beyond comprehension. He stressed how many areas that Telco never performed in such as the Lodge, the Coonskin Inn, the caved in roof at the Conoco Building, the non-existent parking and landscaping and pool at the Telluride Lodge, Bill Lewis, etc., etc. He noted that the previous slow growth pattern advocated by many in Town had been simply perfect for Zoline and Allred because these values compounded at 20% per year and if they had to borrow money it would cost them only 10%, so the longer they stalled the better off they were. He then questioned if anyone really knew who Simonius-Vischer, one of the stockholders in Telco, really was and whether anyone had tried to find out about them before considering the proposed agreement with them. He felt this "Allred Agreement" sounded very familiar to the old "Bill Lewis Agreement". He said he couldn't understand why someone would buy stock in a company where its liabilities were in excess of its assets, and furthermore he could not understand how the Town could sit down and negotiate with someone who had sued the Town for \$3,000,000,000. He noted that if Telco won the suit the Town would be bankrupt so this contract would then not be binding anyway. He complimented Allred on his beautiful political style in that it led away from the past on every issue. He suggested that this whole matter be tabled and put to a referendum vote so that everyone in Town could have a copy of this contract and also that some decent legal people could review the contract in terms of what it meant to the Town.

Dr. Butch Willmen noted that Mr. Korn had several times indicated that the Town's recourse in this contract was through the courts. He felt that if the Town was going to give Telco around \$2,000,000,000. in profit when the Town's legal budget was only \$15,000. that there would be no way for the Town to pursue this through the courts. He noted that several times during these hearings Telco had said that they were the largest employer in Town. He reminded the Council that the Lodge was the largest taxpayer in Town. He reiterated again that last winter the Lodge Homeowners had sat down with the Manager, Planner, and Building Official and were promised that the Town would follow up its laws and ordinances and get the final plans and specs from Telco, but not one thing had been done on this. He said he couldn't believe that the Town would deal with this organization on face value, because he felt, if the Town did, everyone would pay for it dearly.

John Mansfield, noting that there had been a series of meetings and work-sessions on this whole matter felt that these documents were still getting put together and therefore the public had not been able to see these documents in totality and still the documents were being changed constantly. Though public notice had been legally complied with he still felt the intent of making the public aware of all these documents had been pretty sloppy.

Race answered that the thing that upset him by this whole process was that everytime an issue came up that was important, nobody came to the meetings until the final vote, and then they said that they didn't know what was going on.

Dowling challenged whether Race was saying that most of the negotiations had taken place at public meetings.

Race replied that all the meetings had been open meetings.

Dowling noted that the public was not informed of all these meetings. He noted that around 150 hours of meetings only involved Staff and Telco.

Bedford said he felt like Race in that there had been a sufficient amount of time to develop specific questions as opposed to a sufficient amount of time to realize that there could be a problem. He felt the Town had had a sufficient amount of time to look at the concepts and he noted that in terms of the contract, the changes made had not been very much and mainly just tiny points. He felt that to say that the Council was rushing this was true as far as the amount of time to look at the documents as they were drafted. He felt that in some cases perhaps the Town had even been overcareful in some places which he felt was due to the Town's past suspicions about Telco.

McClennan acknowledged that the Council indeed had put in a great deal of time and effort on this and added that he personally had never seen any public body work this hard in his life. However he didn't feel the Town had provided an equal amount of legal input and felt the Town should redraft this contract in its own interest and if the Telluride Company liked it, fine.

In response, Lincoln noted that Mr. Dix's comments had not even referred to the last draft of the contract.

Dowling then questioned how much Lot 36 would be worth since this land was being provided as security and it had the Telluride Lodge cutting through it. He felt this was why Telco was using it for the deed of trust.

Bedford replied that the value of the lot was computed at \$7/sq.ft. totaling \$260,000. He noted that even if 16% was taken away to allow for the Lodge's easement, there was still no excess of the \$700,000. surety bond.

Dowling noted that the 16% figure was used to allow for automobiles but he felt it would affect the property value even more than this, as he didn't think the Town would want the Lodge driving their cars through this property.

Allred noted that the easement in question was a dead end easement so you could drive cars into the easement but not through it because it was a dead end into private land.

Dowling said he wasn't sure this was the case.

Rick Silverman commented that this process had really confused him. He did say that things that happened in this process had garnished much respect from him to the Council in terms of their time and efforts in trying to wrestle with this thing. He said that many of the things Telco had begrudgingly conceded to such as employee housing, the ski area working in partnership with the Town, and season passes were important thing to him and he added that he was not swayed by the comments of "other big sharks" in Town either. He hoped that the process that the Town was beginning to put together was every bit as rigorous when it was Walter McClennan's turn. He felt that no one had really addressed the question of the time element. He said he was not demeaning Telco's propriety in pushing for this thing, but wanted to induce some conversation between the parties that seemed to feel that because they had the strongest vested interest to provide for the Town that they could tell the general public they "knew what was going on" and that they "knew alot of what McClennan said was true but that these guys were dealing in good faith now and if the Town didn't get them now, it would lose the opportunity to have this leverage".

McClennan replied that there were absolutely no reason for this deadline except to obscure a lot of things that were in this contract. He said he had probably made more contracts with Telco than anyone else in the room and that over the years they didn't mean a thing, and that there never had been a contract that was complied with or closed on time. He felt that there was virtually no integrity behind any of their signatures. Noting that this contract was probably worth about \$2,000,000,000, he really didn't think Telco would drop this issue tonight. He then said he would be happy to provide a comprehensive analysis of this contract at his own cost within a few days or weeks.

Korn then commented that sixty days ago he had sat down with the Staff and at that time King had asked if the tax loss was really important to the corporation and if the deadline was that important as well because King had felt they could take till October to work out all these things. King had said that the Town Staff was willing to work within Telco's deadline but King wanted Korn to understand and to go back to his boss and tell him that if Telco really wanted this deadline it would cost them because to work within this deadline would mean a loss leverage for Telco and a gain in leverage for the Town. He said King then identified what the Town wanted which was to gain in leverage for the Town. He said King then identified what the Town wanted which was to address parking, employee housing and guarantees that the lifts would be in Town. Korn said he went back to his boss and he wanted to pursue this because Telco's operational loss was large and they needed to take care of this situation. Korn then addressed McClennan and explained that it had been costly for Telco to work under this deadline and he felt this was exactly what McClennan was worried about. He felt the process involved had proven to be very positive and that his subdivision was at a very high standard in comparison to subdivisions and base areas around a lift in the State.

Bob Callard felt the ridiculousness of this contract was that parking and employee housing had once before been promised by the Telluride Company.

Korn replied that this was why the Town had required the Company to bond and secure with deeds of trusts.

Callard felt that when Allred bought the ski area he also bought certain contractual obligations. He felt the question was whether Allred would abide by these previous obligations or try to chisle on them.

Korn reminded everyone that Bedford had used the term "this is the kitchen sink" and he felt this inferred an end to the game, when both he and Allred viewed this as the beginning of the ballgame. He felt the biggest single factor that would guarantee the enforceability of Telco's performance of this contract was the future because if Telco did not perform on this contract, Telco would never be able to get approval on future plans within the County.

McClennan said he still wanted to know who really was Telco, and wondered if Telco's stock was free and clear. He noted that last year had had asked Allred if he had a 50% unsecured interest in the Telluride Company and Allred had said he did. He said he doubted this because he believed this stock was secured by Zoline's voting rights.

Unruh replied that last night, members of the Council and some Staff went to the Company's office and Allred opened the books and records for the company to them. At that time, with only a cursory examination possible, he said he could only put questions to Allred. He noted that Allred's answers seemed to be truthful and a couple of times Allred had had to swallow a bit because very unusual questions were put to him. He said he felt that Allred's answers were full of veracity. He said that this morning he went back through the documents the group was shown last night. He noted that all these documents were xeroxed copies so he could not attest to their actual validity but he said he was sure that they were actual copies of the original documents. He noted that on February 1st of this year, the shareholders of the Telluride Company met in Denver as evidenced by the minutes of their special meeting. He noted that the minutes reflected that Simonius-Vischer was present with 5,041 shares; Benchmark at Beaver Creek represented by Ron Allred and A.J. Wells with 13,730 shares; three minor shareholders at 60 shares each; and Joe Zoline at 7,308 shares. He said two minor shareholders were not present. At that time, Zoline resigned as Chairman of the Board and the new Directors were elected, these being: Wells, Allred (Ron), Allred (Joyce), Zoline and Robert Vischer. He said he saw cancelled checks for the original downpayment on the purchase of the stock which was just a little bit over 50%. He said he saw cancelled checks in the amount of \$80,000. in cash; \$160,000. in cash and again \$160,000. He noted the purchase agreement stated that if the payment due on February 1, 1979 was made, that Mr. Zoline would resign and there could be a new election. On February 1st, those payments would have been, according to the contract \$137,135.; \$822,865., and \$640,000.

Unruh said that he saw no evidence that these payments were made in the form of cancelled checks but the officers of the Telluride Company assured him that in fact these payments were made and he said he saw no reason to doubt this or otherwise he didn't think Zoline would have resigned. He did note that there were still numerous payments to be made - 5 payments of \$300,000. and 5 payments of over \$200,000. and added that the trust notes were paid off. He felt it could be said that the Town was not through with Zoline because if these payments were not made on February 1st, 1980, 81, 82, 83, and 84, then Benchmark would be in default and Zoline would be back in control. He said it seemed to him that while Zoline held the stock certificates themselves as security for payment, Benchmark at Beaver Creek had the right to vote these shares as indicated to him by the functioning of the business. He noted that his examination was cursory and that the actual books and records were in Avon, Colorado. He said he did not see the stock book of the corporation that showed who the shares were issued to and which showed the transfers of shares, but he said he was shown copies of share certificates. He felt it would be quite an ambitious project to fraudulently put together the documents that he saw, but he admitted that it could be done. He noted that it would take an SEC or Corporate Attorney far more sophisticated than him several weeks to really determine if in face Benchmark was the actual owner of these shares. He felt the Town had to operate on good faith in terms of what was told to him and he was shown.

Dix then questioned if Unruh had seen a stock pledge agreement.

Unruh replied that the purchase agreement stated that Benchmark would execute a stock pledge agreement.

Dix questioned if it called for conditional powers of attorney to be held in addition to the shares being pledged so that a vote could be exercised immediately upon default.

Unruh was not available as he was out of the room.

Race then called a 10 minute recess.

-10 minute recess-

Frank Robinson commented that he was very familiar with the purchase agreement and documents in question as he had assisted in preparing them himself. He replied to Dix that as long as Allred continued to make his payments he had full power to vote all shares.

Dix then clarified that if a default or lack of performance would not generate sufficient funds to pay off the note to Zoline then Zoline would again take power over the Company.

Unruh said that this was correct.

Tom Ragonetti, another attorney for Simonius-Vischer, explained, for McClennan's benefit, that they were a limited partnership, more specifically a wool and diamond trading partnership. He said they invested originally in the Telluride Company because some of the people in the Company had supplied the lifts to Telluride and had been informed that this was a ski area that was really going to go, so they bought stock but not land. Stressing that they were not developers, he said they acquired their land by making loans to the Telluride Company which were defaulted on and they were given the land through foreclosure. He noted that this land was their major asset in Telluride and that they stood to lose more than any other private landowner if the Telluride Company did not perform on these agreements and did not make Backman Village what they said they would, because they were committing to the Telluride Company at least 50% of a strip of property they owned in that area through land exchanges based primarily upon the plan Allred had presented to them for Backman Village. He said Simonius-Vischer felt the best way to protect their asset was to make Telluride into a "first class ski area". To achieve this they transferred shares of stock to Allred and Wells and at that time they had supreme confidence that these were the men and still are the men who would make Telluride a first class area. He said they also participated in this plan for Backman Village because they felt it was a rational, well thought out and feasible plan to turn this area in to the kind of area that could support a first class ski operation. He reiterated that if Telco did not succeed in this, they stood to lose a great deal. He said they had made themselves third party beneficiaries to this agreement that the Company had with the Town, and he felt this showed that they had supreme confidence in what Telco was going to do and the agreements made with the Town. He stressed that Simonius-Vischer wanted to see this go.

Jack Thompson reminded the Council that the one person not discussed in this entire matter had been Terry Starr, the Town's former Building Official, who was being sued by the Company.

Rick Silverman then questioned what happened to some of the benefits discussed, because if McClennan's comments had effectively blown the chances for this matter to pass, he wanted to know what McClennan was willing to pick up, such as the burden of 170 units of employee housing.

McClennan replied that he had 12 units coming up this year and plans for 10 a year.

Callard still reiterated his concern for action about the Telluride Lodge matter.

Unruh replied that the Company had complied with the Town's motion to produce documents and that the plans and specs provided were in Denver.

Ross Willis reminded the Council and the public that the Town was now dealing with new people at the Company. He noted that everything which Allred had come in and said, he was going to do, such as getting a professional staff in here and starting to move forward in preparation of the ski area he had performed on. He didn't think Zoline's lack of performance should be equated to the job Allred was doing.

Sammy Evans noted that she too had been a victim of the Telluride Lodge. She asked the Council to have faith and trust in the new Telco because she was going to invest in the Backman Village and she had faith that the Town and Telco could in fact work together.

Michael Kiernan commented in response to Willis' previous comments that people seemed to quickly to forget some of the previous "new" faces at Telco who were going to do so much like Danny Brown and Bill Lewis and what they did to Telluride. He didn't think anyone could be sure that this was not just another scam because all of the people who had taken over since Zoline had never performed.

Willmeng commented that he would like very much to see the Backman Village annexed, but he did not feel the Town had proper security. He felt that if the stockholders and officers would sign this contract personally and would personally guarantee this agreement, then it was a good deal.

Callard agreed that if the Town had this type of guarantee this would eliminate their ability to hide behind their corporate shell.

Michael Conlin complimented the Council on their efforts in this matter in terms of the time the Council had taken to get the benefits for the Town that they had. He felt that if McClennan was in the same situation, he would be talking "on the other side of the fence". He noted that the time limit for success on this matter was very real and that the Town had been successful in achieving some incredible concessions from Telco.

Carol Wannerberg commented that these concessions might not make the deal profitable enough for the performance to take place.

Wright then asked Allred how the \$3,000,000. would be cleared up and resolved.

Allred replied that his Company had discussed this and decided that they were willing to effectively and immediately drop Telco's suit against Terry Starr, et al.

White questioned if Allred was dropping this suit contingent on the passage of this annexation measure.

Allred said he would drop the action either way.

Bedford then asked Allred if he was willing to sign this document as an individual as opposed to a corporate officer.

Allred replied that he would sign the document as an officer of Telco and that he would also sign this document personally.

Bedford said another concern he had was that some people might be building out there or trying to build out there at the same time or before all site preparations were done. He wanted to protect the building and themselves by making sure that before building permits were issued that the site preparation was completed.

Korn replied that within the improvements contract it called for a time-table. He felt the Town already had this power over Telco.

Crain agreed that it would be foolish for the Town to issue any building permits unless the fill was in place and compacted, and all access points and utility lines were in place. He stressed that the Town's position was that they would not issue a building permit unless these things were done.

White wanted the contract to reflect that all development in Backman Village was not only subject to the aesthetic review of Telco but HPC approval as well. She further wanted all development to be subject to the appropriate review of the Town's Boards and Commissions.

Korn said they would be subject like anyone else to all necessary Town approvals. He then clarified this language in the contract.

Bedford said he was concerned that by paving Mahoney Drive and West Pacific, that the Town would have created about 90% of a paved loop, and anyone using Mahoney and Pacific Streets would eventually hit Davis Street which was in deplorable condition since it had been used as direct access for the past three years to the ski area parking lot. He said he wanted this piece paved also, and noted further that this street was in front of three pieces of property that Telco had already sold.

Korn noted that this street had already been dedicated to the Town and was under the Town's maintenance program. He noted further that when the issue of paving had first come up at P&Z they had been very skeptical about paving any streets, and said it took several meetings before they would even consider allowing consent to Telco to exceed Town standards in paving these streets. He said P&Z regarded the two streets that were going to be paved as a test and that after a few years the Town would be in a better position to decide if they wanted to pave other streets like South Davis.

Bedford questioned what would keep people from leaving the ski area by using Davis Street.

Korn replied that the plan called for a traffic flow which would hopefully keep cars off of Davis. He said that both the Town and Company's planning departments hoped that the loop would be the main access in and out of the ski area.

Bedford then expressed concern about the lack of access to and parking for the Coonskin Inn. He noted that the Coonskin Inn was not specifically mentioned in the agreement but that access would have to be through the river park. He said this was an unresolved problem but noted that there were private efforts underway to resolve the problem.

Lincoln, questioning the parking section of the agreement, clarified that the parking was to be for 170 units of employee housing and the skiers and did not include the 150 lodge units.

Burleigh replied that the Parking and Transportation Commission had noted a problem with this area. He felt the joint parking unit itself, by merging the off-street parking requirement for the lodging units with the out-of-town parking, would allow for a somewhat longer term of use before the out-of-town parking area became too small by virtue of the entire growth of the Town. He then submitted additional substitute language to be included under the parking section on page 16 of this Agreement, "the 150 lodge units...if the Town or Parking and Transportation Commission elects to pass future town-wide legislation requiring compensation for any general or selected modification in any off-street parking requirements that are currently enforced at the time of the passage of this contract, this compensation would not be waived for the 150 lodging units or the denoted substitutions". This language was acceptable to the Council.

Hobbs then questioned what this additional burden would mean to the Town's waste-water treatment system.

King replied that the Town currently had problems with their wastewater treatment methodology not capacity. He said the Town was under an obligation to perform to federal Environmental Protection Agency requirements by 1981. He noted that the Town currently had an aeriated lagoon system and its capacity was capable of several years of operation given the Town's average growth rate. He said the Town was currently involved in the 201 process of wastewater treatment management planning which should lead by 1981 to construction of a treatment plant that could meet necessary requirements. Concerning water availability, King said the Town did not have the arithmetic methodologies for measuring how much water the Town had left to allocate and how long it would last given the Town's current growth rate. He said the Town had found a substantial increase in its water supply given the recent distribution system improvement project. He said the Town anticipated an ability to serve normal growth rates for the coming few years and he noted that the Town was currently in negotiations with Idarado Mining Company to obtain additional water rights.

Hobbs, on page 19(G) of the Agreement, requested the language be changed to read, "The Town agrees to finally approve commercial allocation as platted", a suggestion recommended to him by Crain.

Korn felt the existing wording was sufficient since (V.) on page 20 provided for the future contingency of the accommodations zone.

Crain noted that if this area was zoned accommodations in the future, he preferred the word be changed from "commercial zoning" to "commercial allocation". He felt the words commercial zoning gave an intent that the zoning was there now, but if it changed, there might be question as to whether this contract would then still be in existence in terms of the accommodations zone.

Korn felt the current language protected both the Town and Telco.

Crain still wanted the language changed and the contract was changed to read; "uses permitted shall be all uses associated with skiing and other compatible tourist commercial uses".

Bedford asked Telco what they planned to do with their other three parcels of land in this immediate area.

Michael Dowling felt that as a benevolent gesture on the part of Telco they should dedicate this property to the school.

Korn said he would talk to the school but felt a title search was first needed. He did stress that this was a matter Telco wanted to resolve.

Bedford expressed concern about mentioning the County and Ski Area Mountain Village, that might never exist, in the same breath on page 17, under 3(e) of the contract. He said he was also not convinced that a surface rail system was what the Town wanted to put in anyway. He wanted to substitute the language "non bus transportation system" for "surface rail system".

Allred felt this language would be acceptable and would embody everyone's intent for future transportation services.

White commented that he questioned the Town's costs to administrate this annexation proposal. He said he was uneasy about the parking plan outlined and the housing proposal because he still wasn't sure how the Town would handle the administration of these two programs. He cautioned the public that there were unrealized costs the Town would have to bear for this.

Race then called an executive session for the Council.

-10 minute recess-

MOTION AND VOTE

White moved to adopt a Resolution regarding the proposed Telluride Company Annexation Contract with the Town of Telluride, Colorado.
Second by Bedford.

The vote was taken.
Aye votes cast by Bedford, Hobbs, Lincoln, Race, White, and Wright.
Abstaining vote cast by Stevens.
The motion passed 6-0-1.

MOTION AND VOTE

Bedford moved to adopt the Contract as revised.
Second by Lincoln.

The vote was taken.
Aye votes cast by Bedford, Hobbs, Lincoln, Race, White, and Wright.
Abstaining vote cast by Stevens.
The motion passed 6-0-1.

MOTION AND VOTE

Bedford moved to approve the Annexation Ordinance.
Second by White.

The vote was taken.
Aye votes cast by Bedford, Hobbs, Lincoln, Race, White, and Wright.
Abstaining vote cast by Stevens.
The motion passed 6-0-1.

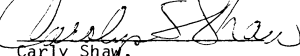
MOTION AND VOTE

Lincoln moved to approve the Zoning Ordinance.
Second by Bedford.

The vote was taken.
Aye votes cast by Bedford, Hobbs, Lincoln, Race, White, and Wright.
Abstaining vote cast by Stevens.
The motion passed 6-0-1.

The meeting was adjourned at 2:30 a.m.

Respectfully submitted,
ATTEST:


Carly Shaw,
Town Clerk

Gerald W. Race, Mayor